



BRICs gatherings always trigger heated debates in India. The primary reason is the importance that the strategic and policymaking community, comprising both optimists and sceptics, attaches to this platform, of which India is an integral pillar. While optimists argue that BRICS could function as an institution capable of multipolarising the global order, or expediting that transition, sceptics highlight the grouping's internal divisions and worry about its possible domination by Russia and China. A third group writes off BRICS altogether, dismissing it as little more than an annual gathering that generates strategic noise. They argue that India should be wary of close association with the grouping and instead focus on preserving and expanding its partnership with the United States, which, in their view, is the only viable path to India's rise.

The 18th BRICS summit, held in New Delhi on September 12-13, 2026, attracted greater national and global attention because of its timing and location. It was the first BRICS annual summit since the U.S. and Israel launched their unprovoked war against Iran, in India's extended neighbourhood, on February 28, 2026. The summit, which brought together the Presidents of Iran, Russia and China, among other leaders, was hosted by India, a close strategic partner of the U.S. and Israel.

Consensus in Delhi

Despite its internal contradictions and the broader chaos enveloping international politics, the summit can be seen as a success on multiple levels. That New Delhi could forge a consensus among the 11 member-countries, including the United Arab Emirates (UAE) and Iran, which are involved in an undeclared conflict, was itself an achievement. The Delhi Declaration shows that, despite their differences and even disputes, member-countries continue to find value in supporting a BRICS worldview rooted in the pursuit of a more representative global order.

The consensus was reached through compromises by all parties. Consider India's position. Prime Minister Narendra Modi was in Israel just two days before Israel and the U.S. started bombing Iran. India initially refrained from condemning the attacks or the assassination of Iran's Supreme Leader, Ayatollah Ali Khamenei. This created an impression that New Delhi was siding with the U.S. and Israel. India also watched from the sidelines as Pakistan seized on the diplomatic opening created by the war and stepped in as a mediator between the U.S. and Iran. But India quickly repositioned itself as a traditional balancer in West Asia.

Multilateral platforms such as the Shanghai Cooperation Organisation (SCO) and BRICS provided New Delhi with space to restore that balancing posture without causing strategic damage to its bilateral relationships. India strongly endorsed the Bishkek resolution of the SCO in September, condemning the strikes on Iran and expressing condolences to the country

India-NZ FTA shows how smaller deals can complement big-bang trade pacts

The India-New Zealand Free Trade Agreement (FTA), set to come into force on October 20, is a good example of why India is right in simultaneously pushing for trade deals with smaller trade partners along with the major global economies. On the face of it, it would be easy to dismiss the \$1.1 billion of bilateral goods trade between the two countries as being less than 1% of India's total goods trade. A doubling by 2030, as envisaged under the deal, is still a minuscule amount. Yet, trade is not simply a macroeconomic indicator. It is also a source of livelihood for lakhs of businesses, nearly half of which are micro, small, and medium enterprises. These exporters need all the help that they can get in the current trade environment. Adverse developments related to tariffs or the closure of trade routes can be mitigated to an extent by a nimble rerouting of trade to other countries where Indian exporters receive an advantage. With 100% U.S. tariffs looming and a trade deal with Washington remaining elusive, India needs to open up as many alternative channels for its exporters as possible. The New Zealand FTA delivers – India has managed to receive duty-free access on 100% of its exports, a historic concession. India has a good mix of capital- and labour-intensive exports to New Zealand that stand to benefit. Textiles make up about 14% of India's exports, while pearls and semi-precious stones constitute another 5% or so. On the capital-intensive side, one-third of India's exports are pharmaceuticals, parts of nuclear reactors, vehicular parts, mineral fuels, electrical machinery, and iron and steel.

India has also done well in its handling of sensitive sectors. While the opening up of India's dairy sector was a major demand by the New Zealand negotiators, India held firm and excluded it from the deal. In total, nearly 30% of India's import lines have been kept outside the tariff concessions. On labour mobility, India has won some valuable concessions on visas for workers and students. At a time when several western countries are clamping down on foreign worker inflows, such alternative routes provide relief. India has also extracted a commitment from New Zealand to facilitate investments of \$20 billion in India over 15 years, smaller but along the same lines as in the agreement with the EFTA bloc. India needs foreign investment not just for its economic growth but also to manage its balance of payments. This FTA is a good blueprint on how India can use its growing international heft to negotiate overwhelmingly in its favour.



The very structure of BRICS offers India space to pursue strategic autonomy amid intensifying great-power rivalries

over the killing of Khamenei. It also hosted Iran's President Masoud Pezeshkian for the Delhi BRICS summit, even as the war in West Asia grinds on. The image of Mr. Modi walking hand in hand with Mr. Pezeshkian is unlikely to fade any time soon in Washington or Tel Aviv.

Second, while there is no immediate resolution to the border problems with China, which continue to simmer, there is momentum in efforts to reset ties. Multilateral forums such as BRICS provide a platform for India and China to remain engaged even when high-level bilateral visits are not taking place. Their differences are not going to disappear; they have to learn to manage their troubled relationship. History suggests that a lack of engagement between competing major powers can only deepen mistrust, while deepening mistrust, combined with the security dilemma stemming from their competition, could have dangerous consequences. So, it is important for India and China to stay engaged, bilaterally and multilaterally, creating guardrails for competitive coexistence.

Third, on all the major global issues of the present – artificial intelligence regulation, the rules governing global trade and finance, climate change, border conflicts, and the role and status of multilateral bodies – BRICS members may have different approaches and priorities, but they converge on the point that unilateralism by any bloc or power is detrimental to their interests and to the planet.

The Washington predictability

The context in which the Delhi summit was held is also crucial. The total predictability of the U.S. approach – rather than the unpredictability that some commentators labour to establish – towards the rest of the world is that it does not care much about anything other than its own dominance. Several BRICS members have had their own difficult experiences with the U.S., and they are trying to chart their own paths forward. India, a few months ago, was slapped with varying tariffs by Washington. India was also one of the countries most affected economically by the U.S.-Israel war on Iran. On September 16, the U.S. House passed the Russia sanctions Bill, seeking to impose tariffs of up to 100% on countries including India.

India's foreign policy under Mr. Modi has been interpreted by a section of the strategic commentariat as an evident tilt towards the U.S. camp. Statements by Mr. Modi himself in the early years of his premiership that India had overcome its "hesitation of history" in ties with Washington gave further impetus to this view, though there has also been the parallel official formulation of '*sabke saath*' foreign policy, or multi-alignment. India has always had a more complex view of history. And even if it has overcome its "hesitation of history", it has not abandoned the hesitations of its strategic realism.

When India looks back at history and looks around the world today, it sees that countries that

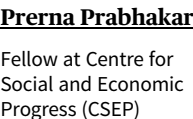
domestic manufacturing. More than 600 QCO-covered products remain to be reassessed, including several critical intermediate inputs used across key manufacturing sectors such as chemicals, steel, textiles, machinery and electronics, and rubber and plastics.

Existing regulations can place a disproportionate burden on smaller industrial players, both by constraining their access to critical inputs and by imposing relatively high compliance costs. Given the extensive downstream linkages of these inputs, the next phase of QCO rationalisation should focus particularly on regulations affecting intermediate goods and assess their implications not only for product quality but also for input availability, costs, competitiveness and domestic value addition.

Findings of a recent study

In this regard, a recent CSEP study examined this question in detail for firms that use chemicals. Chemicals are critical intermediate inputs for downstream sectors such as rubber and plastics, pharmaceuticals and electronics, among others. The first QCO for a chemical product was introduced in 2018, and the number of chemical products covered rose to 52 by 2024. Consequently, the share of chemical-using firms exposed to regulation on the input side rose from 11.8% in 2019 to 56.6% in 2024.

When examining the impact of QCOs on chemicals on downstream user industries, the study finds that the effects vary considerably by firm size. Among larger firms, input QCOs are associated with a 9.6% increase in production alongside a sharp 37% decline in gross value added (GVA). This suggests that while larger firms can sustain and even expand output, this comes at the cost of lower value addition, potentially reflecting higher input costs and their ability to



Visiting Fellow at the
Crawford School
of Public Policy

India's Quality Control Order (QCO) reset must go further in a changing global trade order

Court's message

The Supreme Court of India's observations on singing all six stanzas of the National Song, *Vande Mataram*, while bringing respite to lakhs of citizens, rightly bring back the issue to a fundamental constitutional principle: freedom of conscience

(Front page, September 23). Respect for a national song may be encouraged, but it need not be rammed down a citizen's throat. The Court's reference to the Bijeoe Emmanuel verdict — in the far less problematic National Anthem case, at that — is a timely reminder that a citizen may decline to

sing when doing so conflicts with deeply held religious or conscientious beliefs. National symbols should unite citizens, not place their conscience on trial. A democracy is secure enough to distinguish between disrespect and conscientious dissent, and between voluntary,

spontaneous patriotism and compelled conformity. One should not forget that there is more to patriotism than mere singing, sloganeering and chest-thumping.

M. Jameel Ahmed,
Mysuru

Unsafe Delhi
It is horrendous that the

capital city has become unsafe and dangerous for women ("Delhi L-G directs formation of 'Pink Force' to curb crime", September 23). Unless stringent laws are put in place and speedy punishment is ensured for perpetrators, such incidents will continue to occur and young lives scarred. It is the

confidence of perpetrators that they can evade justice that encourages them to continue such abhorrent and abominable acts.

Balagopal Gopinath,
Keerikkad, Alappuzha, Keralam

Letters emailed to
letters@thehindu.co.in
must carry the postal address
and the full name.